7. INCOME TAXES

The total income tax expense (benefit) for each respective year is as follows:

| (in thousands) | 1999 | 1998 | 1997 |
|---|---|---|---|
| Earnings before cumulative effect of accounting change | $ 8,674 | $ 6,946 | $ 4,886 |
| Tax effect of cumulative effect of accounting change | (726) | -- | -- |
| Shareholders' equity, tax benefit derived from non-statutory stock options exercised and unrealized loss on investment securities | (768) | (162) | (120) |
| | $ 7,180 | $ 6,784 | $ 4,766 |





Income tax expense related to earnings before cumulative effect of accounting change for each respective year is as follows:

| (in thousands) | 1999 | 1998 | 1997 |
|---|---|---|---|
| Current | $ 6,945 | $ 4,894 | $ 1,696 |
| Deferred | 1,729 | 2,052 | 3,190 |
| | $ 8,674 | $ 6,946 | $ 4,886 |

Income tax expense (benefit) attributable to earnings differs from the amounts computed by applying the applicable U.S. federal income tax rate to pretax earnings from operations as a result of the following:

| | 1999 | 1998 | 1997 |
|---|---|---|---|
| Federal statutory rate | 35.0% | 35.0% | 35.0% |
| Increase (decrease) in taxes due to: | | | |
| State income taxes, net of federal tax benefit | 3.1 | 2.9 | 3.7 |
| Utilization of tax credits | (3.1) | (2.9) | (3.5) |
| Other | - | - | 0.5 |
| | 35.0% | 35.0% | 35.7% |

The tax effects of temporary differences that give rise to significant portions of the deferred tax assets and deferred tax liabilities at each of the respective year ends are as follows:

| (in thousands) | 1999 | 1998 | 1997 |
|---|---|---|---|
| Deferred tax assets: | | | |
| Accrued expenses, principally due to accruals for workers' compensation, employee health and retirement benefits | $ 1,433 | $ 1,333 | $ 1,621 |
| Other | 204 | 240 | 23 |
| Total gross deferred tax assets | 1,637 | 1,573 | 1,644 |
| Deferred tax liabilities: | | | |
| Property and equipment, principally due to differences in depreciation and capitalized lease amortization | 6,742 | 4,859 | 3,207 |
| Preopening costs, due to cost in excess of amortization | - | 726 | 517 |
| Other | - | 135 | 71 |
| Total gross deferred tax liabilities | 6,742 | 5,720 | 3,795 |
| Net deferred tax liability | $ 5,105 | $ 4,147 | $ 2,151 |

The net deferred tax liability (asset) at year-end is recorded as follows:

| (in thousands) | 1999 | 1998 | 1997 |
|---|---|---|---|
| Deferred income taxes, long-term liability | $ 6,243 | $ 4,290 | $ 2,958 |
| Deferred income taxes, current asset | (1,138) | (143) | (807) |
| | $ 5,105 | $ 4,147 | $ 2,151 |

Based on the Company's history of taxable income and management's projections of future taxable income, the Company believes it is more likely than not that all of the deferred assets will be realized; thus, no valuation allowance is recorded.